

on sophisticated market makers including Jump, Virtu, DRW, and Jane Street,²¹ order-book DEXs are often forced to rely on a single market maker for each asset pair because of the nascency of the DeFi market and the complex compute infrastructure required to provide them with on-chain liquidity. As the market evolves, we expect these barriers to break down and more traditional market makers to enter the ecosystem; for now, however, these obstacles create a significant barrier to entry. Regardless, both AMM and order-book DEXs are able to eliminate counterparty risk while offering traders a non-custodial and trustless exchange platform.

Several decentralized exchanges use an entirely off-chain order book, retaining the benefits of a non-custodial DEX while circumventing the market making and scaling problems posed by on-chain order-book DEXs. These exchanges function by settling all position entries and exits on chain while maintaining a limit-order book entirely off chain. This allows the DEX to avoid the scaling and UX issues faced by on-chain order-book DEXs but also presents a separate set of problems around regulatory compliance.

Although risks abound in the DEX landscape today, they should shrink over time as the technology advances and market players increase in sophistication.

CUSTODIAL RISK

There are three types of custody: self, partial, and third party. With self-custody, users develop their own solution, which